Strava

Thank you for preparing a memo for Strava.

Business Analysis

First, Focus on the Strava Business, leaving finance aside as much as possible.

1) Describe the business in which Strava operates. Identify sources of risk and uncertainty. What kinds of milestones and operational controls might you put in place to address these?
2) Develop a Scorecard Analysis for Strava (without the valuation number) (eg show key value/performance categories, and how you will rank them)

Financial Analysis

1) Develop the Free Cash Flow for Strava, and show your links to the Income Statement and Balance Sheet to do this. Explain your steps.

2) Based on the (up to) $4,595,000 investment from Sigma (and others part of the "syndicate"), calculate the Pre Money Value of Strava. ***Tip:***

$$\% \, sold = \frac{Investment}{Investment + Founder \ Loan + "x"}$$

That is, pre money = Founder Loan + "x"

3) Use the Term Sheet to determine the $/share

4) What is the Post Money Valuation

5) Use the Free Cash Flow Pro Forma, and Create a Terminal Value Based on a 5% continued growth rate.

6) **Note, the big step, you will need to solve for the Discount rate by equating the NPV of the FCF (eg a Discounted Cash Flow Model) to the Pre Money Valuation.

7) What is the implied Discount Rate that the Sigma Syndicate is using.

Your Recommendation

What do you recommend to Michael and Mark? Show them a sensitivity analysis of their valuation based on their long term growth expectations. How does this impact the IMPLIED discount rate?

Finally, create a Cap Table, using Pitchbook, from their Angel Round to where Strava is now.

What does this show you? What are your takeaways from this case?

Your Memo should be 3-5 pages, plus tables and exhibits. Please submit your Memo and corresponding Excel Sheet to canvas.